

405 = First Tutorial

→ Economy of China

→ Type of transition

→ Transition from feudalism to capitalism

Question:- What do you mean by Inequality and Middle Income Trap? What are the causes of inequality in China? Will inequality lead China to middle Income trap?

Answer:-

Inequality:- Inequality refers to the phenomenon of unequal and/or unjust distribution of resources and opportunities among members of a given society. It is a possible cause for countries to remain in the middle income group. There is a relationship between inequality and growth. The modern analysis of the relationship between inequality and growth started with Kuznets. His discussion led to the so-called "Kuznets Hypothesis (KH)", according to which inequality will initially increase and then decrease as a country develops and its per capita income rises. The KH

suggests an inverted U-shaped curve. Structural transformation involving a shift from agriculture to manufacturing, migration from rural to urban areas, the necessity of a high investment rate for financing this transformation, etc. were seen as the economic processes underpinning the Kuznets Curve (KC). Technological progress is another reason that can justify the Kuznets curve. Only a few benefit can be taken initially from a technology, which is rising inequality. However, ~~more~~ with time more people share the benefit, bringing inequality down.

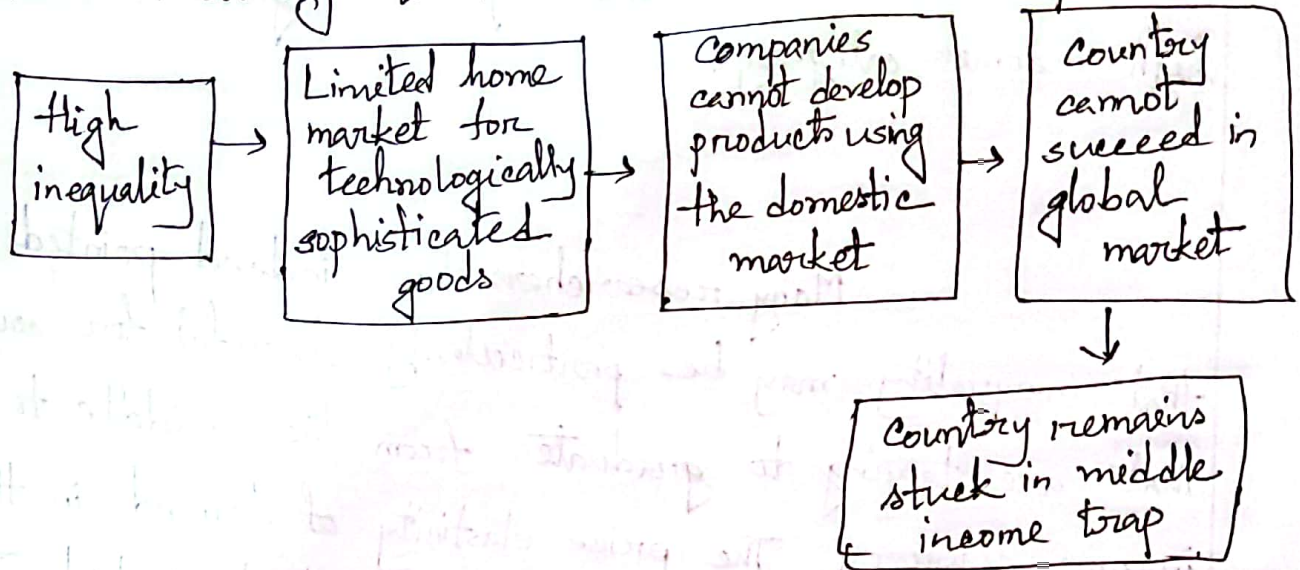
Middle Income Trap:- The middle income trap refers to the phenomenon of countries in the middle income category stagnating. These countries have raised their per capita income level from low to middle income status, but have failed to progress further and reach the high income category. For example, Argentina, Brazil, Mexico, South Africa and Turkey; these countries reached the upper middle income group a long time ago, and yet ^{for} some

reason have failed to move up and graduate to the high income category.

Many researchers have indeed pointed out that inequality may be particularly harmful for countries that are trying to graduate from the middle to high income category. The price elasticity of demand in the international market for low-wage products is high. Therefore, for success in the international market, low-income countries do not have to worry about demand and instead can focus only on supply. However, after a country has entered the middle income stage, and its wage level has risen, it has to succeed in exporting technologically more sophisticated products. Success in the world market ~~for~~ of these products however requires a long period of product development using the domestic market. Yet, a large domestic market for technologically sophisticated products cannot emerge if the distribution of the income in the economy is too unequal. As a result, inequality may

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lead a country to the middle income trap.



Causes of Inequality in China:-

China's inequality is a widely discussed issue. According to a survey conducted by Xinhua, 37 of 50 prominent Chinese economists thought inequality is threatening China's sustainable development.

China's inequality has many dimensions. Three important ones are regional, rural-urban, and social inequalities. Regional inequality in China generally refers to inequality across provinces or other broadly defined regions, such as 'coastal' and 'inland'. Measuring rural-

urban inequality in China can be problematic, because the boundaries of cities in China are often set based on politico-administrative considerations, and hence do not always conform to what they should be from the economic point of view. Finally, the social inequality in the above classification refers to inequality across various income-groups.

Geographical reasons have a special role in regional inequality in China. The coastal provinces has an important ~~at~~ geographical advantage than the inland and it is an important driving force behind China's recent growth. Government policies had an important role in rural-urban inequality dynamics. After the focus of the reform shifted to the industrial and urban economy, the growth of rural income started to lag behind the growth of urban income, and rural-urban inequality started to rise. With regard to aggravation of social inequality, clearly the policy of switching to market and

private entrepreneurship played the most important role.

The Hukou system is another reason behind China's inequality problem. It divides its citizens into two social categories based on their registered residence. This system prevents about 125 million Chinese migrants, who live and work in the cities, from acquiring urban residence status. As a result, they have a 'second-class citizen' status. They are deprived from many essential public and social utilities. So the Hukou system creates social, ~~and~~ regional and rural-urban inequality at the same time.

China's land system also embodies considerable non-economic inequalities. And institutions and policies play an important role in the rise of inequality in China.

Inequality and Middle Income Trap for China:-

Analysis shows that high inequality may harm China's growth prospects through several channels. The economic channel works via a high saving rates, misallocation and waste of investment, and declining efficiency of capital. The social channel works via discontent created by the worsening relative economic situation of many citizens, ~~resentment~~ resentment against politico-administrative sources of inequality, and additional grievances caused by environmental injustice. The two channels are inter-connected. These have impact on inequality through the economic channel.

One consequence of high inequality is a high savings rate. While savings in developed countries constitute generally about 10 to 20 percent of the national income, the share of savings in national income in China now exceeds 50 percent. The lopsided distribution of national income towards savings is now causing problems

For China.

The Chinese economy has been successful in both investment and exports for a long period of time. As a result, the rate of investment and ratio of exports to GDP have increased to very high levels. The investment rate in China has increased to close to 50 percent in more recent years. Similarly, the ratio of exports to GDP has increased to about 40 percent in recent years. These increase per capita income and wage. With the rise of per capita income and wages, China is facing pressure in the world market of labour-intensive products. To keep up export growth, China has to graduate to exports of technology/knowledge/capital intensive products.

China still remains largely a low-cost producer of products innovated by other countries, rather than pioneer in development of new technologically sophisticated products

by its own companies. If this situation persists, maintaining high ratio of net exports to GDP may become difficult for China.

There are problems with regard to the absorption of Chinese savings through investment too. A large part of the savings ends up being in public hands. As a result, a significant part of the savings goes to financial investments undertaken by public enterprises and authorities. Public authorities come to rescue of bad private investments if these were undertaken either ~~to~~ legally or illegally. This leads to bad investments. As a result, the efficiency of investment in China is declining.

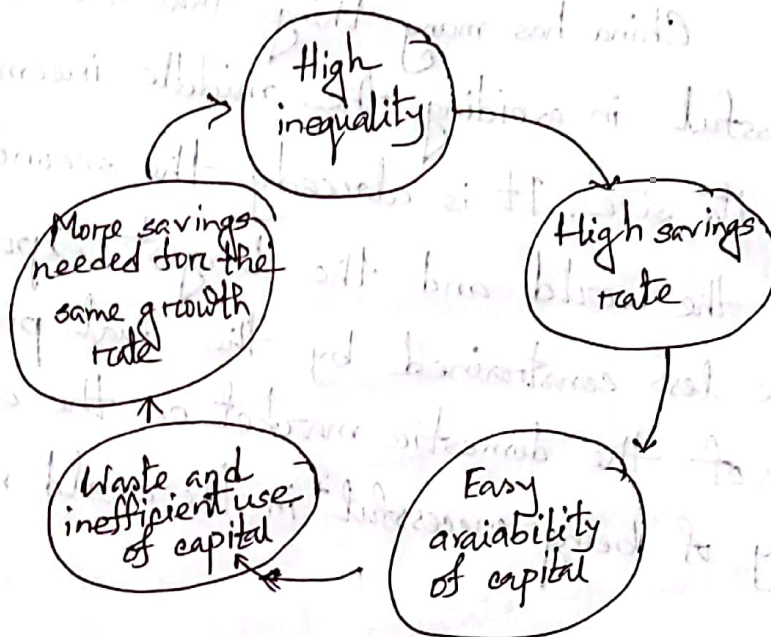
Evidence also suggests that a significant part of capital in China wasted on huge ~~up~~ unproductive infrastructure projects, and construction of large, ornamental government buildings, etc. One of them is known as 'apartment bubble'. The apartment bubble helps to see the undesirable effects

of inequality from both investment and consumption sides.

These are on the supply side. On the consumption side, inequality constraints the demand for apartments, because ordinary Chinese citizens lack the income to buy them. By contrast, affluent Chinese have the income to buy multiple apartments, and they are doing it mainly for speculative purposes. However, this speculative demand has often led to construction of the wrong type of apartments and in the wrong locations. Thus, inequality is both causing over-supply of "wrong type" apartments and constraining the demand for them.

If the currently observed decline in capital efficiency persists, China will have to invest increasing amounts of capital to achieve the same rate of growth. Thus, a vicious cycle may develop, with high inequality generating more savings, leading to inefficiency of capital, which then necessitates more capital to sustain the same rate growth.

requiring more savings, and hence more inequality. This is a concrete example of how high inequality itself may make a reduction in inequality difficult, leading to inequality trap.



Capital inefficiency trap

From the above discussion we can say that, there is a real danger that inequality may harm China's growth prospects and lead to it to the middle income trap. Whether or not China will be able to graduate from middle income to high income status is a question of wide interest. After all, China represents about one-sixth of the world's

population, so that the future of China's growth process affects not only China, but the world as a whole.

China has many things that are favorable for being successful in avoiding the middle income trap. One of them is its size. It is already the second largest economy of the world and the largest exporter. China is therefore less constrained by the dual problem of limited size of the domestic market on the one hand, and the difficulty of being successful in the world market, on the other.

If the problem stated above can be solved this should help China to reduce inequality. In that case, the recent trend of inequality in China to decrease will prove durable, and China will move away from the league of MIT countries and come back to the company of successful high income countries that combined growth with equity. Whether China will be able to do so and avoid

the middle income trap will be one of the most important development outcomes to observe in the coming years.

Question: Mode of Production

Answer:-

According to Karl Marx and the Marxist theory of historical materialism, a mode of production is a specific combination of the productive forces ^{It includes} which includes human labour power and means of production. Everything that goes into the production of the necessities of life, the social structures that regulate the relation between humans in the production of goods, a definite form of expressing their life, a definite mode of life on their part. As individuals express their lives, so they are what they are, therefore coincides with their production, both with what they produce, how they produce.

The mode of production refers to the theory in which human history is divided into the five progressive

stages of primitive society, slave society, feudal society, capitalist society and ~~feudal~~ socialist.

* Transition from feudalism to capitalism in Western Europe

1. Changes in technology
2. The long distance trade
3. The putting out system and the birth of capitalist industry
4. The decline of the manorial system
5. The creation of the working class
6. Other factors

* Different meaning of transition

1. Transition from one social formation to another-systemic transition
2. Transition from agriculture to industry
3. Transition from planning to market
4. Transition from public to private ownership
5. Transition from one party to multi-party system
6. Transition from socialism to capitalism
7. Systemic and stand-alone economic transition